OBSESSION
AN ENTRANCE HUB

handbook of Econmics

Class XII

11

BALANCE OF PAYMENT AND EXCHANGE RATE

QUICK REVISION

1. **Balance of Payments:** The Balance of Payments of a country is a systematic record of all economic transactions between the residents of a country and residents of foreign countries during a given period of time.
2. **BOP Accounts:** BOP accounts comprise two main accounts:
   (i) Current account and (ii) Capital account
   (i) Current Account: The current account records transaction relating to goods and services and unilateral transfers.
   (ii)Capital Account: The capital account records all international economic transactions relating to change in assets- both financial and physical. It is a record of short-term and long-term capital transactions, both private and official.
3. **Categories of Balance of Payments:** Major categories in the BOP accounts are:
   (i) Balance of Trade: It shows the balance of exports and imports of visible goods.
   (ii) Balance of Current Account: It is the balance of exports and imports of goods and services and international transfer payments. Components of current account are:
   (a) Export and Import of goods.
   (b) Export and Import of services.
   (c) Unilateral Transfers during a given period of time.
   (d) Investment tncome.
   (iii) Balance of Capital Account: It refers to the balance of capital transfers borrowing and lending and sale and purchase of stocks of gold and Foreign Exchange. Components of capital account are:
   (a) Private transactions.
   (b) Official transactions.
   (c) Banking Capital.
   (d) Foreign Direct investment.
   (e) Portfolio investment.
   (iv) Balance of Payments: It includes all debits and credits relating to all the terms on account of which a country makes and receives payments from rest of the world.
4. **Autonomous and Accommodating Items:** Autonomous items refer to those international economic transactions, which take place due to some economic motive such as profit maximisation. Accommodating items refer to the transactions that are undertaken to cover deficit or surplus in autonomous transactions.
5. **Official Reserve Transactions:** Official reserve transaction are different from other transaction in the BOP account. These transactions take place for maintaining equality in the BOP through decrease or increase in Foreign Exchange reserves. Therefore, such transaction are called accommodating transactions. Official reserve transactions ensure that there is balance in BOP accounts.
6. **Disequilibrium in BOP:** When the total autonomous inflows are not equal to total autonomous outflows there will be disequilibrium in BOP. Disequilibrium could be either a deficit or surplus.
7. **Surplus BOP:** If total autonomous receipts exceed the total autonomous spending of foreign exchange in a given year, there arises a surplus in BOP.

8. **Deficit BOP:** It refers to a situation when outflow of foreign exchange is more than its inflow.

9. Foreign Direct Investment: It refers to the investment undertaken in the firms belonging to other countries by acquiring control over them, e.g., purchase of a firm by reliance industries in a foreign country.

10. Portfolio Investment: It refers to the form of investment under which companies and residents of a country purchase shares of foreign companies or buy bonds issued by foreign governments, e.g., purchase of shares of a c company by reliance industries in a foreign country.

11. Causes behind Adverse BOP: The main causes of an adverse Balance of Payments situation are:

(i) Development efforts
(ii) Population growth
(iii) Fall in export demand
(iv) Inflation
(v) Change in the size of national income
(vi) Change in foreign exchange rates
(vii) Increased debt burden
(viii) Demonstration effect

12. Remedies to Correct Adverse Balance of Payment:

(i) Depreciation of the currency
(ii) Devaluation of the home currency
(iii) Export promotion
(iv) Import control
(v) Fiscal policy
(vi) Monetary policy

FOREIGN EXCHANGE

1. Foreign Exchange: All currencies other than the domestic currency of a given country is called Foreign Exchange.

2. Meaning of Foreign Exchange Rate: Foreign Exchange rate refers to the rate at which one unit of currency of a country can be exchanged for the number of units of currency of another country. For example, 1$ = ₹ 74.

3. Depreciation and Appreciation of a Currency: Currency depreciation refers to fall in the value of domestic currency in terms of Foreign Currency. Currency appreciation, on the other hand, implies an increase in the value of domestic currency in terms of Foreign Currency.

4. Foreign Exchange Market: Foreign Exchange market is a market in which foreign exchange transactions take place. It is an institutional arrangement for buying and selling of Foreign Currencies. Important dealers in Foreign Exchange market are: banks (usually called exchange banks), brokers and the central banks. Foreign Exchange. market plays many roles to transfer purchasing power, to provide credit and help in hedging operations.

5. Spot Market and Forward Market for Foreign Exchange: A market which is of daily nature is called spot market. The exchange rate that prevails in the spot market for Foreign Exchange is called spot rate. Forward market refers to the market in which Foreign Exchange is bought and sold on a specified future date at a rate agreed upon today. Exchange rate quoted for forward transactions is called forward exchange rate.

6. Fixed Exchange Rate System: Under Fixed Exchange rate system, the government determines or specifies the rate at which the domestic currency will be exchanged with Foreign Currencies. Thus, all transactions with the rest of the world are undertaken at the officially determined or 'pegged' exchange rate. The pegged rate is maintained by the Central Bank through its Foreign Currency reserves.

Merits of Fixed Exchange Rate System:

(i) It encourages international trade and investment.
(ii) There is no fear of speculation.
(iii) It ensures internal economic stabilisation.

Demerits of Fixed Exchange Rate System:

(i) Large reserves of Foreign Currencies are required.
(ii) This is not always possible to have Fixed Exchange rates.
(iii) The objective of internal stability is sacrificed at the cost of external stability.

7. Flexible Exchange Rate System: Under this system, the exchange rate is determined freely by the market mechanism without any interference from a central bank. There is no need for a central bank to hold Foreign Exchange reserves to manage the exchange rate, as any surplus or deficit in the Foreign Exchange market automatically translates into an appreciation or depreciation of the domestic currency.

Merits of Flexible Exchange Rate System:

(i) There is no need for foreign exchange reserves.
(ii) It eliminates the problem of overvaluation and under valuation.
(iii) A country is free to adopt independent monetary policy.
(iv) It does not require the use of exchange control.

Demerits of Flexible Exchange Rate System:
(i) There are wide fluctuations in exchange rates.
(ii) It is inflationary in nature.
(iii) There is wide spread speculation regarding exchange rates.

8. Managed Floating Rate System: It refers to a system in which foreign exchange rate is determined by market forces and central bank is a key participant to stabilise the value of currency in case of extreme appreciation or depreciation.

9. Sources of Demand for Foreign Exchange:
(i) Import of goods and services.
(ii) Foreign tours and travels.
(iii) Unilateral transfers to abroad.
(iv) Purchasing assets abroad.
(v) Speculative demand.

10. Sources of Supply for Foreign Exchange:
(i) Exports of goods and services.
(ii) Foreign tourists and visitors.
(iii) Foreign investment in the home country.
(iv) Gifts and other remiltances from abroad.
(v) Speculative supply.

11. Equilibrium Exchange Rate: Equilibrium exchange rate is determined at a level where demand for foreign exchange is equal to its supply.

12. Exchange Rate Regimes:
(i) Gold Standard (1870-1914).
(ii) Bretten Woods System (1944-1971).
(iii) Managed Floating (since 1971).

1 MARK QUESTIONS

A. FILL IN THE BLANKS

1. Two accounts of Balance of Payment are _____ and _____ .
2. Exports and Imports of visible goods is known as _____.
3. International transaction done for the sake of profit maximisation is known as _____.
4. International transaction done for correcting balance of payment is known as _____.
5. When credit side of BOP is greater than debit side of the BOP then there is _____ BOP.
6. When debit side is more than credit side then there is _____ BOP.
7. _____ refers to the rate at which one currency is exchanged for the other.
8. Decrease in the value of home currency in terms of foreign currency is known as _____.
9. _____ is known as the increase in the value of home currency in terms of foreign currency.
10. Fixed exchange rate system refers to a system in which exchange rate for a currency is fixed by _____.
11. _____ is a deliberate reduction in the value of home currency to correct the BOP.
12. Increase in the value of home currency by the government is known as _____.
13. Flexible exchange rate is also known as _____.
14. Flexible exchange rate system is determined by the forces of _____.
15. Balance of Payment is a _____ concept as it is related to a given _____.
16. BOP is prepared on the basis of _____ of accounting.

17. All inflows of foreign exchange are recorded on the _____ of the BOP.
18 . If imports of goods exceed the export of goods then the country is suppose to have _____ the BOP.
19 . _____ are those items which can not be seen touched or measured.
20. Balance of Trade is also known as balance _____ of Trade.
21. Accommodating items are also known as _____ items.
22. _____ are also known as above the line items.
23. Balance of Payment must always be _____
24. BOP is a systematic record of all economic transactions between residents of one country and _____.
25. Apart from Current and Capital Account there is one more element in BOP, known as _____.

ANSWERS

1. current account, capital account	2. Balance of Trade	3. Autonomous transactions	4. Accommodating transactions
5. Surplus	6. Deficit	7. Exchange rate	8. Depreciation
9. Appreciation	10. The Government	11. Devaluation	12. Revaluation
13. Floating exchange rate system	14. Demand and supply	15. FIow, period of time	16. Double entry book system
17. Credit side	18. Deficit in	19. lnvisible items	20. Visible
21. Below the line	22. Autonomous items	23. Balanced	24. Rest of the world
25. Errors and omissions			

TRUE OF FALSE

1. In Flexible Exchange rate, rate of exchange does not change.
Ans. [False] As rate of Foreign Exchange changes with change in demand and supply of Foreign Exchange.
2. Export and Import of machines are recorded in capital account of item of the Balance of Payment.
Ans. [False] Because it is recorded in the current account of the Balance of Payment.
3. Increase or decrease in gold reserve is an item of BOP on capital account.
Ans. [True] Because change in gold reserve is an item of BOP on capital account.
4. Current account of BOP account records only imports and Exports of goods and services.
Ans. [False] Because in addition it also records addition of Exports and Imports of unilateral transfers.
5. Repayment of loan is reflected as credit item in BOP account.
Ans. [False] Because it is reflected as debit item since it leads to outflow of Foreign Exchange.
6. Increase in Foreign Exchange rate leads to increase in supply of Foreign exchange.
Ans. [True} Because it leads to rise in exports and foreign investment.
7 .Gifts and donations sent to or received from abroad is an item of capital account BOP.
Ans. [False] Because being real transactions, it is an item of current account of BOP.
8. Accommodating transaction are undertaken to maintain Balance of Payment in BOP account.
Ans.**[True]** Because these items being capital transactions are undertaken to correct disequilibrium in autonomous items of BOP.
9. Foreign investments are recorded in capital account of BOP.
Ans. [True] Because they affect foreign assets and foreign liabilities of a country during a year.
10. When there is depreciation of Indian rupee in terms of US dollars, Indian import will rise.
Ans. [False] Because of Indian goods becoming cheaper, Indian exports will rise.

11. Balance of Payment always balances.
Ans. [True] In accounting sense only it is movement of official reserves or below the line items that bring balance to the BOP accounts.
12. If BOT is in deficit then the BOP is also in deficit.
Ans. [False] Because Balance of Trade is only one part of Balance of Payment account.
13. Transfer to the rest of the world is a debit component of payment on current account.
Ans. [True] Because transfer to rest of the world being a negative item is reflected in the debit side of BOP on current account.
14. High rate of inflation in domestic economy causes deficit Balance of Trade.
Ans. [True] Because high rate of inflation makes domestic goods costlier. This leads to increase in imports and decrease in exports making a deficit BOT.
15. Appreciation of Indian currency occur when more rupees are to be paid for a U.K. pound.
Ans. [False] Because in case of appreciation, value of domestic currency increases in relation to value of a British pound. Therefore, less rupees are to be paid for a British goods.

C. MULTIPLE CHOICE QUESTIONS

BALANCE OF PAYMENT

1. What is included in Balance of Payments?
(a) Imports and Exports of goods (b) Imports and Exports of services
(c) Imports and Exports of visible and invisible goods (d) All of these
2. What is included in Balance in Trade?
(a) Exports-Imports of Goods (b) Exports-Imports of services
(c) Import-Exports technocrats (d) All of these
3. What type of items are included in Balance of Payments?
(a) Items of current account (b) Items of capital account
(c) Both of these (d) none of these
4. What items are included in Balance of Payment on current account?
(a) Import-Exports of goods (b) Import-Exports of services
(c) Transfer receipt and payments (d) All of these.
5. What is included in Balance of Payments of capital account?
(a) Receipts-payments of banks (b) Transactions relating to gold and Foreign Exchange
(c) Receipt and payment of loans (d) All of these
6. Imports-Exports of goods is included in which of the following type of balance?
(a) Balance of Payment on current account (b) Balance of Payment on capital account
(c) Any of these two (d) Neither of these two
7. Royalty and commission is included in which type of balance of payment?
(a) Balance of Payment on capital account (b) Balance of Payment on current account
(c) Any of these two (d) Neither of these two
8. Receipts from visible trade was ₹ 16,000 crs and payment on visible trade was 22,000 crs. Deficit Balance of Trade would be:
(a) ₹ 6,000 crs (b) ₹ 38,000 crs (c) ₹ 3,000 crs (d) none of these
9· An increase in gold reserves is included in which of the following Balance of Payments?
(a) Current account Balance of Payments (b) Balance of Payments on capital accounts
(c) General Balance of Payments (d) None Of these
10. Remuneration paid to foreign experts is a part of:
(a) Balance of Payments on capital account
(b) Balance of Payments on current account
(c) Either of these two
(d) Neither of these two

11. Balance of trade =_____
(a) Exports of visible goods - Imports of visible goods (b) Exports of invisible goods - Imports of invisible goods.
(c) Exports of gold - Imports of gold (d) Any of these
12. Favourable Balance of Payments brings changes in Foreign Exchange rate.
(a) False (b) True (c) Either (a) or (b) (d) None of these

ANSWERS

1.(c) 2.(a) 3.(c) 4.(d) 5.(d) 6.(a) 7.(b) 8.(a) 9.(b) 10. (b) 11. (a) 12.(b)

FOREIGN EXCHANGE RATE

1. Who determines Fixed Exchange rate?
(a) World Bank (b) Monetary authorities (c) Finance minister (d) Any of these
2. Flexible exchange rate is determined by:
(a) demand and supply of Foreign Exchange (b) demand and supply of domestic currency
(c) by Government every month (d) any of these
3. In India, what type of Foreign Exchange system prevails presently?
(a) Flexible (b) Fixed (c) Managed floating system (d) Any of these
4. Demand for foreign exchange arises on account of:
(a) imports of goods (b) domestic students and tourists going abroad
(c) foreign investment (d) all of these
5. What are the main sources of supply of Foreign Exchange?
(a) Exporters (b) Purchases by foreigners
(c) Expenditure of foreign tourists in India (d) Any of these
6. Foreign students coming to India for their studies, win effect, Foreign Exchange:
(a) Increase in demand for Foreign Exchange (b) Increase in supply of Foreign Exchange
(c) Any of these (d) None of these
7. Who brings devaluation of Foreign Exchange in the country?
(a) Government (b) Demand and supply of Foreign Exchange
(c) World Bank (d) None of these
8. Who brings depreciation in Foreign Exchange rate?
(a) Government (b) I.M.F
(c) Demand and supply of Foreign Exchange (d) Any of these
9. In an open economy who determines Foreign Exchange rate?
(a) World Bank (b) Government
(c) With coordination (d) Demand and supply of Foreign Exchange
10. When price of a dollar rises from ₹ 60 to ₹62 per dollar, it will be known as:
(a) appreciation of rupee (b) depreciation of rupee (c) any of these two (d) neither of these two
11. When price of a dollar falls from ₹62 to ₹59, it will be known as:
(a) appreciation of rupee (b) depreciation of rupee (c) any of these two (d) neither of these two
12. There is heavy demand for dollars in India, by which its price has risen to ₹ 75 per dollar, what RBI should do to stabilise rupee?
(a) Should buy dollar from market (b) Should sell dollar in the market
(c) Should remain neutral (d) None of these
13. Other things remaining same, when in a country the market price of Foreign Currency falls, National Income is likely:
(a) to rise (b) to fall
(d) to remain unaffected (c) to rise or to fall

14 Other things remaining unchanged, when in a country the price of Foreign Currency rises, National Income is:
(a) likely to rise (b) likely to fall (c) likely to rise and fall both (d) not affected

ANSWERS

1. (b) 2. (a) 3. (c) 4. (d) 5. (d) 6. (b) 7. (a) 8. (c) 9. (d) 10. (b) 11. (a) 12. (b) 13. (a) 14. (b).

D. ASSERTION - REASON TYPE

Read the following statements-Assertion (A) and Reason (R), and select the correct alternative ,in each case:
(a) (A) is true, but (R) is false.
(b) (A) is false, but (R) is true.
(c) Both (A) and (R) are true and {R) is the correct explanation of (A).
(d) Both (A) and (R) are true but (R) is not the correct explanation of (A).

1. Assertion (A) : Due to rise in demand, for foreign exchange rupee is depreciating.
Reason (R) : Government devalues its own currency to correct the BOP.

2. Assertion (A) : Depreciation of domestic currency leads to rise in exports.
Reason (R) : Depreciation of domestic currency makes domestic goods relatively cheap r, which leads to increase in exports.

3. Assertion (A) : Balance of Payment must always balance.
Reason (R) : Balance of Payment follows the principal of Double Entry System of accounts.

4. Assertion (A) : BOP has two components of it Current Account and Capital Account.
Reason (R) : BOP is a flow concept as it is related to a given period of time.

5. Assertion (A) : Foreign Exchange market is the market where foreign currencies are bought and sold.
Reason (R) : Flexible Exchange rate system is that where rate of exchange is determined by the forces of demand and supply of different currencies in the Foreign Exchange market.

ANSWERS

1. (d) 2. (c) 3. (c) 4. (d) 5. (c)

2 MARK QUESTIONS

1. What is 'Balance of Payments'?
Ans. Balance of Payments can be defined as systematic record of all economic transactions between the resident of one country and the resident of another country during a given period of time.
2. What do you mean by current account of BOP?
Ans. Current account deals with the movement of Exports and Imports of goods and services. Merchandise may be private or government.
3· What is capital account?
Ans . It deals with financial transactions between one country and rest of the world. These financial or capital transactions can be private, government or institutional. It can be classified as short-term and long-term capital movements.
4· What is Balance of Trade?
Ans. When the import payments for visible goods are deducted from the export income from visible goods of a country during any particular year, we get the Balance of Trade account.

5. Give two examples of capital transfers between the countries.
Ans. (i) Foreign Investment: It consists of direct and portfolio investment.
(ii) Loans: Borrowing and lending by private individuals, non-financial institutions, government etc.
6. What do you mean by an adverse Balance of Payments?
Ans. If the total payment for imports exceeds the total earnings from exports then the Balance of Payments becomes adverse.
7. Mention two invisible items in the Balance of Payments of a country.
Ans. Two invisible items in the BOP of a country are:
(i) Payments and receipts for shipping services.
(ii) Payments and receipts for insurance and banking.
8. Differentiate between Balance of Trade and Balance of Payments.
Ans. Difference between Balance of Trade and Balance of Payments:
(i) The term 'Balance of Trade' refers to the record of visible items only in the current account.
On the other hand, the term 'Balance of Payments' refers to the account of both visible as well as invisible items both in the current account and capital account.
(ii) Balance of trade is a part of balance of current account. But Balance of Payments is equal to the sum total of balance of current account and the balance of capital account.
9. Mention two causes of adverse Balance of Payment of a country.
Ans. Two causes of adverse Balance of Payments of a country are:
(i) Fall in Exports: Balance of payments deficit may arise because of the shift in the foreign demand away from the country's goods to products of other countries.
(ii) Inflationary Pressure in the Economy: A high rate of inflation at home encourages imports by making imports relatively cheaper. It also leads to decrease in the country's competence in the world market and therefore reduces exports.
10. Mention two ways to correct an adverse Balance of Payments.
Ans. Two ways to correct an adverse Balance of Payments are:
(i) Import Control: This can be done by adopting a wide variety of measures such as quotas and tariffs.
(ii) Production of Import Substitutes: Steps may be taken to encourage the production of import substitutes. If the industries producing import substitutes develop, then they may turn out to be export earners as well.
11. What is the difference between devaluation and depreciation of currency?
Ans. Both devaluation and depreciation means increase in the price of foreign currencies or fall in the value of domestic currency.
But devaluation happens in fixed exchange rate system and it is done through policy decision. Depreciation happens in a flexible exchange rate system and happens through the market forces.
12. What do you mean by capital receipts?
Ans. Capital receipts are government receipts that create liabilities or reduce assets. Capital receipts constitute borrowing of the government. In capital receipts, the government is under obligation to return the amount along with interest. There
are three major sources of capital receipts:
(i) Borrowings.
(ii) Recovery of loans.
(iii) Resale of shares of public sector undertakings (or Disinvestment of PSUs).
13. What is meant by visible items in the Balance of Payment account?
Ans. Visible items are Exports and Imports of goods, i.e., merchandise.
14. What is meant by invisible items in the Palance of Payment of a country?
Ans. Invisible items are Exports and Imports of services, i.e., tourism services.
15. What do you mean by autonomous capital?
Ans. It refers to those capital flows which take place because of economic considerations such as earning of interest income, dividends and other income by foreign investment etc., e.g., if MNCs are making investment in India, this is done with the objective of earning income.

16. What is accommodating capital?
Ans. It takes place to bring the BOP in equilibrium, e.g., if there is current account deficit in BOP. This deficit is settled by capital inflows from abroad either by borrowing from abroad or by running down cash balances by the government.
17. State which of the following is a visible item and which is an invisible item in Balance of Payments?
(a) Export of jute product
(b) Software services exports.
Ans. (a) Export of jute product-Visible item
(b) Software services exports-Invisible item
18. Name the items which are not included in the current account of India's Balance of Payment.
Ans. The capital transactions in the form of direct and portfolio investment that take place between the countries are not included in the current account of India's Balance of Payments.
19. In which account of Balance of Payment tourism services to tourist are included?
Ans. Tourism services to tourist are included in current account of Balance of Payments.
20. Which transactions-autonomous or accommodating bring balance in the Balance of Payments?
Ans. Accommodating transactions bring balance in the Balance of Payments.
21. What is direct foreign investment?
Ans. It refers to the investment undertaken in the firms belonging to other countries by acquiring control over them, e.g., purchase of a firm by reliance in a foreign country.
22 What is portfolio investment?
Ans. It refers to the form of investment under which companies and residents of a country purchase shares of foreign companies or buy bonds issued by foreign governments., e.g., purchase of shares of a company by reliance in foreign country.
23. What do you mean by Foreign Exchange?
Ans. Foreign Exchange refers to all currencies other than the domestic currency of a given country. For example, India's domestic currency is Indian rupee and all other currencies like US dollar, British pound are Foreign Exchange.
24. What is rate of exchange?
Ans. The rate at which currency of one country can be exchanged from the currency of another country is called the rate of foreign exchange. For example, 1$ = 74.
25. Why Foreign Currency/Exchange is needed?
Ans. (i) To purchase of goods and services from other countries.
(ii) To send a gift abroad.
(iii) To purchase financial assets in a particular country.
(iv) To speculate on the value of foreign currencies.
26. What are the factors responsible for inflow of Foreign Currency?
Ans. (i) Foreigners purchasing home country goods and services through exports,
(ii) Foreigners investing in home country through joint ventures and through financial market operation.
(iii) Foreign currencies flow into the economy due to currency dealers and speculators.
27. When exchange rate of Foreign Currency falls, it's supply also falls. Explain how?
Ans. When exchange rate falls, experts become less profitable hence supply of Foreign Currency through exports falls.
28. When exchange rate of Foreign Currency falls, it's demand rises. Explain how?
Ans. When exchange rate falls, imports become cheaper, demand for imports rises and so rises the demand of Foreign Exchange to purchase more imports.
29. Which market is known as Foreign Exchange market?
Ans. The market in which currencies of various countries are converted, exchanged or traded for one another is called Foreign Exchange market.
30. What do you mean by Fixed Exchange rate system?
Ans. Fixed exchange rate system refers to a system in which exchange rate for a currency is fixed by the government. The basic purpose of adopting this system is to ensure stability in foreign trade and capital movements.

31. What do you mean by Flexible Exchange rate system?
Ans. Flexible exchange rate is that rate which is determined by the forces of demand and supply of Foreign Exchange. There is no official intervention. It is free to fluctuate according to changes in demand and supply of Foreign Currency.
32 . What is managed Floating Exchange rate system?
Ans. It refers to a system in which Foreign Exchange rate is determined by market forces and Central Bank is a key participant to stabilise the currency in case of extreme appreciation or depreciation. It is also known as dirty floating.
33. What is known as exchange depreciation?
Ans. Depreciation refers to decline in· the rate of exchange of one currency in terms of other currency. It is similar to devaluation but not done by the government. It is done in the exchange market with the help of demand and supply of the currency. It takes place in a flexible exchange rate system. It is automatic and can correct the adverse BOP of the country .
34 . What is known as appreciation of currency?
Ans. It refers to increase in the value of domestic currency in terms of Foreign Currency. The domestic currency becomes more valuable and less of it is required to buy the foreign currency. Appreciation makes imports cheaper than before thus imports of the country increases.
35 . What do you mean by devaluation of a currency?
Ans. It means decreasing the value of domestic currency in respect of a Foreign Currency. Devaluation is done by the government of the country which has unfavourable BOP. It is done deliberately to get its advantages. The government officially declares devaluation indicating the extent of decrease in the value of currency. Specific currency will be determined with which it is devalued.

3 - 4 MARK QUESTIONS

1. Mention the items included in the current account of the Balance of Payments.
Ans. Any foreign transactions arising out of export income, import payments, unilateral or unrequited receipts and payments, which have no future implications, are included in the current account of the balance of payments of a country. The items included in this current account of the Balance of Payments are as follows:
(i) The export income from and import payments for visible commodities (e.g., export income from cotton textiles and import payment for importing crude oil).
(ii) Export income from and import payments for invisible goods, i.e., service items (e.g., export of tourism service and import of technocratic service).
(iii) Unilateral receipts and payments (e.g., gifts, indemnities, etc., received from foreigners and such gifts, indemnities, etc., given to foreigners).
2. What are the various components of capital account of Balance of Payment?
Ans. Deals with financial transactions between one country and rest of the world. These financial or capital transactions canbe private, government or institutional. It can be classified as short-term and long-term capital movements.
Main Components of Capital Account:
(i) Foreign Investment : It has two sub parts:
(a) Foreign Direct Investment: It refers to the investment undertaken in the firms belonging to other countries by acquiring control over them, e.g., purchase of a firm by reliance in a foreign country.
(b) Portfolio Investment: It refers to the form of investment under which companies and residents of a country purchase shares of foreign companies or buy bonds issued by Foreign Governments, e.g., purchase of shares of a company by reliance in foreign country.
(ii) Loans:
(a) Commercial borrowing
(b) Borrowing as external assistance
(c) Banking capital transactions

3. Explain any two causes of disequilibrium in Balance of Payment.
Ans. (i) **Fall in Export Demand**: When demand for the country's goods fall in the foreign market. Due to changes in the taste and preferences of the consumers export decreases and the BOP will be unfavourable. However the deficit in BOP due to fall in export demand is more inclined in underdeveloped countries than advance countries.
(ii) **Growth of Population**: In underdeveloped countries aggregate consumption demand rises due to rapid growth of population consequently imports of goods increases and the export decreases. This creates the deficit in the Balance of Payment of less developed countries.
4. Explain four export promotion activities.
Ans. To control adverse BOP the country may adopt export promotion measures which are as follows:
(i) Cash assistance and subsidies can be given to exporters to increase export.
(ii) Export duties may be reduced to encourage exports.
(iii) Goods meant for exports can be exempted from all types of taxes.
(iv) Export oriented industries can be encouraged by providing better infrastructure, better raw material, making favourable loan facilities etc.
5. Explain import control activities used to correct adverse Balance of Payment.
Ans. (i) **Import Substitutes**: The economy can develop technology of import substitution. Industries producing import substitutes can be encouraged by capital goods, better technology etc. Policy of import substitution can help the country to become self reliant.
(ii) **Import Licensing**: The government can have strong control over the exports by having strict rules and regulations for providing licenses to importers,
(iii) **Import Quotas**: Fixing import quotas may be a better device for correcting the adverse BOP as they have the immediate effect of restricting imports. Import quotas are important non-tariff barriers. They are positive restrictions on incoming of goods.
(iv) **Tariff**: It is a tax duty imposed on imports. The objective is to make imports expensive. It reduces the demand for imports and the deficit in BOP gets corrected.
6. What is exchange control?
Ans. It is the most widely used method for correcting adverse BOP. It refers to the control by the Central Bank over the use of Foreign Exchange. In this method all the exporters are directed by the Central Bank to surrender the Foreign Exchange earnings and it is rationed out among the licensed importers, it means only license holders can import goods. Exchange control, does not remove the process of adverse BOP, it simply does not allow the situation to worsen. Hence, it is not considered a proper method to correct adverse BOP.
7. Balance of Payment must always balance. Comment.
Ans. In accounting sense BOP of a country is always in equilibrium. It is because of the reason BOP is prepared in terms of credits and debits based on the system of double entry book keeping. Under this system each transaction gives rise to two equal entries. One credit entry and one debit entry. Thus, total debits and total credits must be equal. Similarly, an international transaction generates two equal entries and sum of all international receipts are equal to sum of international payments. Surplus on current account can lead to the grant of loans to other countries by the government or it can lead to increase in the country's Foreign Exchange reserve. Contrary to it a deficit on current account can be met by borrowing from abroad or by running down country's Foreign Exchange reserves. Thus, the two sides are necessarily balanced.
8. What are the sources of supply of Foreign Exchange?
Ans. Sources of supply of Foreign Exchange are given below:
(i) When foreigners purchase home country's (say India's) goods and services through exports (by India).
(ii) When foreigners invest in bonds and equity shares of the home country (say India).
(ii) When currency dealers and speculators cause flow of foreign currency in the domestic economy.
(iv) When Indian workers working abroad send their savings to families in India.
(v) When foreign tourists come to India.
9. Give the factors responsible for the demand for Foreign Exchange?
Ans. There is an inverse relationship between price of Foreign Exchange and demand for that Foreign Exchange in terms of domestic currency. Higher the price lower the demand for Foreign Exchange and lower the price higher the demand for Foreign Currency thus the demand curve will be downward sloping. Demand for Foreign Exchange arises due to the following reasons

(i) Imports of goods and services.
(ii) Tourism.
(iii) Unilateral transfers sent abroad.
(iv) Purchase of assets in foreign countries.
(v) For lending money abroad.
10. What do you mean by managed floating?
Ans. It refers to a system in which Foreign Exchange rate is determined by market forces and Central Bank is a key participant
to stabilise the currency in case of extreme appreciation or depreciation. It is also known as dirty floating.

6 - 8 MARK QUESTIONS

1. What do you understand by Balance of Payment? Explain various components of it.
Ans. Balance of Payment can be defined as systematic record of all economic transactions between the resident of one country and the resident of another country during a given period of time. Economic transactions can broadly be categorised into four heads which are:
'(i) **Visible Items:** Visible items include all those tangible goods which can be imported and exported. These are visible as they are made up of some matter or material. This is known as merchandise also.
(ii) Invisible Items: Invisible items include all types of services like shipping, banking, tourist etc.
(iii) Unilateral Transfers: These are those payments which are made without expecting anything in return of it like donations, gifts, etc.
(iv) Capital Transfers: Capital transfers are concerned with capital receipts and capital payments. It includes the transfer of assets.

Structure of Balance of Payment Account:

S.No.	Credits	Debits
1.	Exports of goods	lmports of goods
2.	Exports of services	lmports of services
3.	UniIateral receipts (gifts, grants, donations)	UniIateral payments
4	Capital receipts (borrowing from abroad, capital payment by sale of assets)	Capital payments (lending, capital repayment, purchase of assets, etc.)

Components of Balance of Payment:
(**i) Current Account:** Current account deals with the movement of exports and imports of goods and services. Merchandise may be private or government. It is the major item of the current account. Items of current account are as under:
(a) Exports and imports of visible items, i.e., goods. It is also known as Balance of Trade.
(b) Invisible items.
(c) Services.
(d) Unilateral transfer.
(e) Miscellaneous-commission, advertisement, royalties, patent fee, etc.
Each one of these items has credit and debit depending on the principle of double entry book keeping.
(ii) Capital Account: Deals with financial transactions between one country and rest of the world. These financial or capital transactions can be private, government or institutional. It can be classified as short-term and long-term capital movements. These capital movements are of two types:
(a) Autonomous Capital: It refers to those capital flows which take place because of economic consideration such as earning of interest income, dividends and other income by foreign investment, etc., e.g., if MNCs are making investment in India, this is done with the objective of earning income.
(b) Accommodating Capital: It takes place to bring the BOP in equilibrium, e.g., if there is current account deficit in BOP. This deficit is settled by capital inflows from abroad either by borrowing from abroad or by running down cash balances by the government.

Main Components of Capital Account:
(iii) Foreign Investment: It has two sub parts:
(a) Foreign Direct Investment: It refers to the investment undertaken in the firms belonging to other countries by acquiring control over them, e.g., purchase of a firm by reliance in a foreign country.
(b) Portfolio Investment: It refers to the form of investment under which companies and residents of a country purchase shares of foreign companies or buy bonds issued by foreign governments, e.g., purchase of shares of a company by reliance in foreign country.
(iv) Loans:
(a) Commercial borrowing,
(b) Borrowing as external assistance.
(c) Banking capital transactions,
2. Explain any four factors responsible for deficit in Balance of Payment.
Ans. When there is either deficit or surplus Balance of Payment it is said to be in disequilibrium. When a country is incurring more payments from abroad than it has to make then it is considered favourable Balance of Payment which is in surplus. Contrary to it if a country makes more payments abroad than what it receives then BOP is said to be unfavourable because it is in deficit. The main causes of adverse BOP are:
(i) Inflation: Increase in prices due to higher wages and higher prices of raw materials etc., makes export costlier. The export in this case decreases and at the same time demand for imports increases. This results in deficit BOP.
(ii) Huge International Borrowings: A country may tend to have an adverse BOP when it borrows heavily from other country while the lending country will tend to have a favourable BOP.
(iii) Development Programmes: The other reason for adverse BOP in developing countries is a large investment in development schemes. These development schemes require import of huge quantity of capital goods, technical knowledge and essential raw materials. This increases imports which makes BOP unfavourable.
(iv) Demonstration Effect: It is another most important factor causing deficit in BOP of a country especially of an underdeveloped country. When people of underdeveloped countries come into the contact with those of advanced countries they start adopting western style and pattern of consumption. Due to this reason their import increases and it leads to adverse BOP.
3. Suggest measures to correct disequilibrium in Balance of Payment.
Ans. (i) Devaluation: It means decreasing the value of domestic currency in respect to a foreign currency. Devaluation is done by the government of the country which has unfavourable BOP. It is done deliberately to get its advantages. The government officially declares devaluation indicating the extent of decrease in the value of currency. Specific currency will be determined with which it is devalued. The country can not change the value of currency frequently. With a decrease in the value of its currency the country has to pay more in exchange for a foreign currency. In this case the export becomes cheaper at the same time import becomes expensive. With this export increases and import decreases.
(ii) Exchange Depreciation: Depreciation refers to decline in the rate of exchange of one currency in terms of other currency. It is similar to devaluation but not done by the government. It is done in the exchange market with the help of demand and supply of the currency. It takes place in a flexible exchange rate system. It is automatic and can correct the adverse BOP of the country.
(iii) Capital Movement: In flow of capital from the individuals and government of other countries as well as borrowings from international financial institutions like World Bank, IMF etc., can be used to correct the deficit in BOP
Non-monetary Measures: Non-monetary measures deal with the real sector for correcting disequilibrium in BOP. Following are the important non-monetary measures:
(a) Monetary Policy: The Central Bank can reduce the volume of credit by raising the Bank Rate, by selling securities in open market and by increasing Cash Reserve Ratio. This will make borrowing from Commercial Banks costlier. It will lead to fall in investment and hence fall in income and employment and output. Any such decrease in income decreases the demand for Imports and disequilibrium in BOP can be corrected,

(**b) Fiscal Policy:** A restricted fiscal policy can also be used to wipe out BOP deficit by reducing the total expenditure in the economy and increase in direct taxes will reduce the disposable income and hence there will be reduction in demand for imports. The decrease in government expenditure will also have the same effect on decreasing the demand for imported goods.

Every country has to use the combination of monetary and non-monetary methods to correct BOP disequilibrium and also prevent retaliation from any developed country.

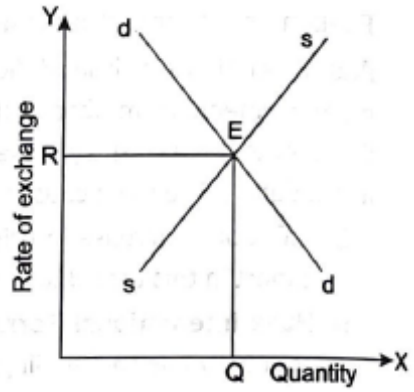
4. What is meant by Foreign Exchange rate? How it can be determined in a Flexible Exchange rate system? Explain.

Ans. Foreign Exchange Rate: It is a rate at which the currency of one country is exchanged with the currency of other country, e.g., 1$ = 78.

Determination of the Foreign Exchange Rate: The rate is determined in the Foreign Exchange market by the interaction of the demand for and supply of Foreign Exchange.

Demand for Foreign Exchange Comes From: Domestic residents purchase goods and services from other countries (imports), for sending gifts to foreigners, by the domestic residents to purchase financial assets in other country, speculative purpose and tourists going abroad, etc. There is inverse relationship between Foreign Exchange rate and demand for Foreign Exchange. So demand curve for Foreign Exchange is downward sloping.

Supply of Foreign Exchange Comes From: The foreigner's purchasing goods and services (exports), the foreigners who invest in home country through joint ventures, remittances from abroad, foreign tourists come to visit a country. There is direct relationship between Foreign Exchange rate and supply of Foreign Exchange. So supply curve of Foreign Exchange is upward sloping.



In the given graph dd is the demand curve for a Foreign Exchange and ss is a supply curve of a Foreign Currency. E is the point where demand and supply curves intersect each other and at that point only rate of exchange is determined.

5. What do you mean by Fixed Exchange rate system? Briefly explain its merits and demerits.

Ans. Fixed Exchange Rate Systems: The system in which exchange rate is officially declared by government or Central Bank of a country and only a very small deviation from this fixed value is possible.

Advantages (Merits):

(**i) Stability:** It ensures stability in the international money market/exchange market.

(**ii) Encourages International Trade:** Fixed Exchange rate system implies low risk and low uncertainty of future payments. It encourages international trade.

(iii) Co-ordination of Macroeconomics Policies: Fixed Exchange rate helps co-ordination of macroeconomics policies across different countries of the world.

Disadvantages (Demerits):

(i) Huge International Reserves: Fixed Exchange rate system is often supported with huge international reserves of gold. This is because different currencies are directly or indirectly convertible into gold.

(**ii) Restricted Movement of Capital:** Fixed Exchange rate (owing to huge backup of international reserves) restricts the movement of capital across different parts of the world.

(iii) Discourages Ventures Capital: Fixed Exchange rate discourages venture capital in the international money market.

6. What do you mean by Flexible Exchange rate system? Give its merits and demerits.

Ans. Flexible Exchange rate is that rate which is determined by the forces of demand and supply of Foreign Exchange. There is no official intervention. It is free to fluctuate according to changes in demand and supply of Foreign Currency. It is also known as Floating Exchange rate.

Merits of Flexible Exchange Rate System:

(i) Maintains equilibrium level.

(ii) No need for huge Foreign Exchange reserves.

(iii) Optimum utilisation of resources.

Demerits of Flexible Exchange Rate System:

(i) Instability in the Foreign Exchange rate system.

(ii) Speculative activities.

(iii) Creates inflationary situation.

QUESTIONS BASED ON DIFFERENTIATION

1. Differentiate between Autonomous Capital and Accommodating Capital.

Ans.

S.No.	Basis	Autonomous Capital	Accommodating Capital
1.	Meaning	It refers to those international transactions which are taken with the motive of profit maximisation. These transactions are independent of state of the country's BOP.	It refers to those transactions which are taken up by the government in order to keep BOP balanced.
2.	Alternative name	These items are often called above the line items in BOP as they are recorded as first items before calculating deficit or surplus in BOP.	These items are known as below the line items as they are recorded after calculating deficit or surplus.
3.	Occurrence	These items take place on both current and capital	These items take place only on capital account.

2. Differentiate between Direct Investment and Portfolio Investment.

Ans.

S.No.	Basis	Direct Investment	Portfolio Investment
1.	Meaning	It refers to the investment undertaken. In the firms belonging to other countries.	It refers to the form of investment under which companies and residents of a country purchase share.
2.	Example	By acquiring control over firms, e.g., purchase of a firm by TATA in a foreign country.	Purchase of some shares of company by TATA in a foreign country.

3. Differentiate between Balance of Payment and Balance of Trade.

Ans.

S.No.	Basis	BOP	BOT
1.	Meaning	BOP is a statement of all economic transactions between the residents of one country and the residents of another country during a year.	BOT refers to the difference between exports and imports of goods by a country in a year.
2.	Concept	BOP is a wider concept.	BOT is a component of BOP.
3.	Nature of items	It includes· both visible and invisible items. It also includes unilateral capital transactions.	It only includes visible Items like merchandise.
4.	Nature of record	It is a complete record of economic transactions with the world. Hence, it provides a true picture of the economy of a country in relation to the rest of the world.	It is only a partial record hence it is not a true indicator of economic relations with other countries.
5.	Balance	BOP is always balance in accounting sense.	BOT may be surplus or deficit.

4. Differentiate between Current Account and Capital Account.

Ans.

S.No.	Basis	Current Account	Capital Account
1.	Meaning	Current account transactions include exports and imports of visible and invsble tems and uniIateral receipts and payments in the BOP of country.	Capital account includes capital transactions in BOP of a country.
2	Liability	It does not generate any future liability in respect of external payments.	It generates future liabilities of a country in respect of external payments.

5. Differentiate between devaluation and depreciation.

Ans.

S.No.	Basis	DevaluatIon	Depreciation
1.	Meaning	It means decreasing the value of domestic currency In respect of a foreign currency	Depreciation refers to decline in the rate of exchange of one currency in terms of other currency.
2.	Government's role	Devaluation is done by the government to correct BOP.	It takes place due to normal wear and tear of currency.
3.	Exchange rate-System	It takes place in a Fixed Exchange rate system.	It takes place In a FIexible Exchange rate system.

6. Differentiate between Fixed and Flexible Exchange Rate System.

Ans.

S.No.	Basis.	Fixed Exchange Rate System	Flexible Exchange Rate System
1.	Meaning	It is officially fixed in terms of gold or any other currency by goyernment.	It is determined by forces of demand and supply of Foreign Exchange.
2.	Role of government	Exchange is fully under government control.	Government has no role to play In its determination. Exchange rate fluctuates freely according to market conditions.
3.	FIuctuations In exchange rate	The exchange rate generally remains stable and only a small variation is possible	The exchange rate keep fluctuating.

7.What is the difference between appreciation and revaluation.

Ans.

S.No.	Basis	Appreciation	Revaluation
1.	Meaning	It refers to increase in the value of a domestic currency in terms of foreign currency under FIexibleExchange rate system.	It refers to increase in the value of domestic currency in terms of all foreign currencies under Fixed Exchange rate system.
2.	Role of the Government	Government has no role to play. It takes place in a market due to change in demand and supply forces.	Government plays very effective role.

CASE-BASED QUESTIONS

CASE 1

Exchange rate between Indian Rupee and US Dollar has changed from 71.49 (November, 2020) to 78.14 (June 2022) through changes to market forces of demand and supply. Therefore, it is believed that India's Balance of Payments this year going to be favourable.

Answer the following questions based on the above paragraph:

1. Change from 1$ = 71.49 INR to 78.14 is called as _____.

(a) appreciation (b) depreciation (c) revaluation (d) devaluation

2. This kind of determination is applicable in _____ system of exchange rate

(a) Flexible Exchange rate system (b) Fixed Exchange rate system

(c) Managed floating (d) None of these

3. What impact will be there on the imports of India with this change in the value of INR?

(a) Export increases (b) Import increases

(c) No change in export and import (d) BOP will become unfavourable.

Ans. 1. (b), 2. (a), 3. (a)

CASE 2

India's Foreign Exchange reserves have jumped by $100 billion in 10 months to a record high of $534.5 billion in 2021 The rise has been led by strong foreign fund inflows recently and decline in import bill due to dip in crude oil prices and trade impact following COVID-19 pandemic. Reduced imports of gold also cut down India's import bill.

Answer the following questions based on the above paragraph:

1. Import of Petroleum from Iran will be mentioned:
(a) credit side of Capital Account (b) debit side of Capital Account
(c) credit side of Current Account (d) debit side of Current Account
2. Increase in import duty of gold will lead to:
(a) reduction in import of gold (b) import of gold will increase
(c) no effect on import of gold (d) outflow of Foreign Exchange
3. India's Foreign Exchange reserves has jumped high. The reason may be:
(a) inflow of Foreign Exchange
(b) outflow of Foreign Exchange
(c) autonomous payments over autonomous receipts
(d) all the above

Ans. 1. (d), 2. (a), 3. (a)

CASE 3

Each nation has its own currency when monetary transactions are conducted within the national borders, payments are made in the currency of that country for example Indian currency is called rupee. But if you have to make payments outside the country then it has to be converted in to the currency of the country where sale and purchase is taking place. There is a specific rate at which the home currency will be converted in to foreign currency.

Answer the following questions based on the above paragraph:

1. Exchange rate refer to the rate at which the following is exchanged:
(a) goods (b) currencies
(c) services (d) all of these
2. Who fixes the Flexible Exchange rate:
(a) market force (b) government
(c) both (a) and (b) (d) none of these
3. Refers to a system in which exchange rate for a currency is fixed by the government.
(a) Fixed Exchange rate (b) Flexible Exchange rate
(c) Floating Exchange rate (d) none of these

Ans. 1. (b), 2. (a), 3. (a).

QUESTIONS WITH HIGH DIFFICULTY LEVEL

1. In which circumstances, the devaluation of currency will be in favour of economy?
Ans. In case of deficit in Balance of Payment.
2. In which circumstances the appreciation of currency will be non-favourable for the economy?
Ans. When imports are more than export because appreciation of currency will make imports cheaper.
3. What is the impact of appreciation of currency on the demand for Foreign Exchange?
Ans. Demand for Foreign Currency increases.
4. What is the impact of appreciation of currency on the supply of Foreign Exchange?
Ans. Supply of Foreign Currency decreases.
5. What is the impact of depreciation of currency on the demand for Foreign Exchange?
Ans. Demand for Foreign Currency falls.

6. What is the impact of depreciation of currency on the supply of Foreign Exchange?
Ans. Supply of Foreign Exchange increases.
7. State whether the following items constitute demand or supply of Foreign Exchange:
(i) Indian going to USA for medical treatment.
(ii) Donation of 500 million $ received from microsoft.
(iii) Import of goods from China.
(iv) Indian students going to Australia for MBA.
(v) Foreign tourists come to India to visit Taj Mahal.
(vi) Purchase of land in England.
(vii) Bought 500 Pounds to sell for speculation.
Ans. Demand for Foreign Exchange: (i), (iii), (iv), (vi), (vii); **Supply of Foreign Exchange:** (ii), (v).

8. Would the Central Bank need to intervene in a managed floating system? Explain why.
Ans. In a managed floating system, Foreign Exchange rate is determined by market forces. However, the central bank needs to intervene in this system in order to restrict the fluctuations in the exchange rate within certain limits. The aim is to keep exchange rate close to desired target values. For this, Central Bank maintains reserves of Foreign Exchange to ensure that the exchange rate stays within the targeted value.

9. Classify whether the following transactions will be recorded in current account or capital account.
(i) Purchase of shares of reliance by microsoft.
(ii) Imports of computer spare parts from Germany.
(iii) Borrowings from World Bank.
(iv) Repayment of loan by Indian Government taken from Japan.
(v) Gifts received from a relative in America.
(vi) Purchase of land in England.
(vii) Shipping service by an Indian company to a Foreign company.
Ans. Current Account: (ii), (v), (vii); C**apital Account**: (i), (iii), (iv), (vi).

10. State whether the following transactions will be recorded on the debit side or credit side of BOP.
(i) Loan from IMF to cover deficit of BOP.
(ii) Indian Government repays loan taken from IMF.
(iii) Purchase of shares of Infosys by a Japanese resident.
(iv) Export of Jute to Sri Lanka.
(v) Acquisition of a foreign company by Tata.
(vi) Purchase of toys from China.
Ans. Transactions relating to inflow of Foreign Exchange will be recorded on the credit side and outflows of Foreign Exchange on the debit side. **Debit Side:** (ii), (v), (vi); **Credit Side:** (i), (iii), (iv).

11. Identify the following items as visible items or invisible items:
(i) Export of computer software.
(ii) Import of LCD screen from Malaysia.
(iii) Banking service to NRI.
(iv) Export of tea to Thailand.
(v) Consultancy services of TCS used by a Foreign firm.
Ans. Visible Items: (ii), (iv); **Invisible Items:** (i), (iii), (v).

12. When exchange rate of Foreign Currency rise its supply rises? Explain how.
Ans. A rise in Foreign Exchange rate makes home country's goods cheaper to foreigners so they will purchase more goods and services (exports), as a result demand for country's goods increase leading to increase in country's exports. At the same time foreigners who want to invest in home country will invest more, more foreign tourists will come to visit home country. This brings a greater supply of Foreign Exchange. Hence, supply of Foreign Currency rises.

13. What do you mean by SDR?
Ans. It means Special Drawing Rights given by International Monetary Fund (IMF) to its member countries.

14. Why are the accommodating items termed as below the line items?
Ans. Accommodating items are recorded as the last items after calculating deficit/surplus in BOP account, hence they are termed as below the line items.
15. Why are the autonomous items termed as above the line items?
Ans. Autonomous items are recorded as first items before calculating deficit/surplus in BOP account, hence they are termed as above the line items.

WORK SHEET FOR SELF EVALUATION

1. Give the meaning of Balance of Trade. **(2 Marks)**
2. Give two examples of autonomous items and accommodating items. **(2 Marks)**
3. What do you mean by disequilibrium in Balance of Payment? **(2 Marks)**
4. Explain any two economic causes of disequilibrium in Balance of Payment. **(2 Marks)**
5. Explain the meaning of deficit in Balance of Payment. **(2 Marks)**
6. What are the basis of classifying BOP items into autonomous and accommodating items? **(2 Marks)**
7. The price of US $ has fallen from * 60 to ₹ 50. Has Indian currency appreciated or depreciated? **(2 Marks)**
8. How can the government correct an adverse Balance of Payment through following measures:
(i) Export promotion, (ii) Import control? **(3 Marks)**
9. State two sources of supply of Foreign Exchange. **(2 Marks)**
10. Why is demand curve of Foreign Currency is downward sloping? **(2 Marks)**
11. Give two sources of demand for Foreign Exchange. **(2 Marks)**
12. How does depreciation affect Imports and Exports of a country? **(2 Marks)**
13. In what ways appreciation of a currency affect the International Trade of a country? **(2 Marks)**
14. Explain the relationship between demand for Foreign Exchange and Rate of Exchange. **(2 Marks)**